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IVEY

907N07

WORKBRAIN CORP. — A CASE IN EXIT STRATEGY

Teddy Rosenberg wrote this case solely to provide material for class discussion. The author does not intend to illustrate either effective or ineffective handling of a managerial situation. The author may have disguised certain names and other identifying information to protect confidentiality.

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As Matt Chapman, chief financial officer (CFO) of Workbrain Corp. (Workbrain) sat down to write his memo in the fall of 2003, he knew his words would have enormous impact on the company. Chapman had been asked to consider taking Workbrain public on the Toronto Stock Exchange (TSX). The results were to be presented at the upcoming board of directors meeting. Chapman believed that, in order for his analysis to be meaningful, it had to address a broad array of questions:

- Should Workbrain prepare for an initial public offering (IPO)?
- Was now the right time?
- Which exchange would serve the company better: TSX or NASDAQ?
- Would the shareholders be better off if the company pursued potential acquirers rather than an IPO?
- What other financing alternatives were available?
- Did the company even need to raise money?

WORKBRAIN CORP.

Workbrain Corp. was a Toronto-based company co-founded in November 1999 by its current chief executive officer (CEO), David Ossip. After four years of remarkable growth, the company expected revenues to be more than US$30 million for the year ending 2003.[1] The company had generated $2 million in cash in 2002 and expected to be cash neutral for 2003. As of September 30, 2003, the company had approximately 300 employees. Company headquarters and product development were located in Toronto. The company also maintained a U.S. head office and sales offices in Canada, the United States and Europe.

Workbrain was a leading supplier of workforce management software. The company's products automated a number of labor management tasks:

- Labor forecasting
- Employee scheduling
- Time and attendance monitoring

[1] *Like many Canadian companies, Workbrain reported in U.S. dollars because the majority of its revenue came from the United States.*

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- Workforce analytics
- Employee self-service applications

These products helped customers with large labor forces to achieve substantial cost savings and improved operational efficiencies:

- Reducing gross payroll costs
- Reducing payroll management costs
- Reducing the use of paper-based forms for time and attendance
- Improving staff utilization through more efficient scheduling
- Improving regulatory compliance
- Identifying and analysing opportunities for additional cost savings through changes to workforce management practices, labor contracts and pay rules.

The company targeted its software to industries characterized by large workforces, complex work rules, multiple sites and inefficient, paper-based workforce management processes. These industries included retailing, manufacturing, financial services, transportation, utilities and the public sectors. Notable customers included:

American Airlines	Avon	Burlington Coat Factory
General Mills	Owens-Illinois	Tennessee Valley Authority
Toronto Police Services	Tyson Foods	Winn-Dixie

The company's software had achieved numerous industry commendations, including being named one of the "Products of the Year" by *HR Executive* magazine and being selected as a "Best of the Web" product by *Forbes* Magazine.

The following example illustrates how one customer used the Workbrain solution:

> In 2001, a large retailer was looking to address the workforce management challenges stemming from its recent acquisition-driven growth. This growth resulted in more than 10,000 employees at several hundred locations across North America. The customer's primary objectives were to standardize payroll practices across the enterprise, reduce payroll errors and abuse, and enable labour cost reporting. This would allow the customer to manage overtime spending. The customer needed a flexible, web-based solution that would operate in a low-bandwidth environment. After implementing the Workbrain software, the customer experienced consistent application of pay rules, increased payroll accuracy, elimination of paper-based processes and a significant reduction in administrative workload. Detailed labour cost information allowed managers to analyse and reduce overtime costs. The customer reported it had reduced gross payroll costs by nearly 3%, a savings of millions of dollars annually.[2]

Workbrain had demonstrated dramatic growth. The company had a three-year compounded annual growth rate (CAGR) in sales projected at 350 per cent for the period 2000 to 2003. Sales were forecast to grow 100 per cent for 2003. Unusual for a technology company, this fast growth had been accompanied by a rapid road to positive cash flow. In its third year of operation, 2002, the company had actually generated $2 million in cash (see Exhibit 1).

[2] *Source: Company documents, 2003.*

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Workbrain was solving a large problem for large customers. Not surprisingly, these customers paid a great deal for the Workbrain solution with many orders coming in at more than $1 million. These sales were then implemented over a period of several months, with Workbrain recognizing revenue as the implementation proceeded. As a result, the company had excellent visibility into its revenue line for at least two quarters ahead and reasonable insight into the following year's revenue. These large sales, coupled with the fact that Workbrain was a young, private company also meant that prospective customers often had concerns about Workbrain's long-term viability. As a result, Chapman regularly found himself in conversation with clients' CFOs, reassuring them about Workbrain's operational and financial stability. He would share selective financial information with these customers to aid the sales process.

The question of Workbrain's financial stability was a concern to both Chapman and the sales team because the financial questions were asked at a time when Workbrain was most vulnerable — it had won the sales opportunity; its competitors knew it had won the sale; and the competitors also knew that Workbrain would have to review its financial statements and financial viability with prospective customers before closing the deal, giving competitors time to try to reverse the decision.

In April 2003, Workbrain acquired Workforce Logistics Inc., a provider of software solutions, to automate employee scheduling processes in large organizations. With this acquisition, Workbrain enhanced its existing workforce management product line with additional schedule optimization technology. This relatively small acquisition, for a total consideration of $3.8 million,[3] was representative of the sort of selective strategic acquisition the company expected to continue as a way of expanding its product offerings, augmenting its distribution channels and broadening its customer base.

The Industry

Workbrain participated in the market for enterprise-class workforce management software. This software enabled companies to automate the dynamic deployment and management of their workforces, a product area that was distinguished from other well-known categories of business automation software. For example, SAP and Oracle Corp. focused on software commonly called Enterprise Resource Planning (ERP) that automated the management of financial information and customer and supplier relationships. Another well-known category of enterprise software — Human Resource Management (HRM) — in which PeopleSoft had traditionally been the leader, was a back-office solution to manage static human resources information relating to compensation, benefits and personal information.

Although organizations had invested heavily in ERP and HRM systems, considerably less had been invested in Workbrain's category of workforce management systems. One industry analyst estimated that the time and attendance component of the market would alone grow to $400 million in software licenses by 2006. Another industry watcher believed that the combined market for all areas of workforce management, including processes such as employee scheduling and contractor management, greatly exceeded the market for time and attendance solutions alone, and would total $6.8 billion annually in products and services in 2006.

[3] *The consideration of $3.8 million was made up as follows: cash of $944,000; common shares of 1,115,457 at $2.07 per share; warrants at $0.20 exercisable into 236,495 common shares at an exercise price of $2.07 per share; and acquisition-related costs of $500,000.*

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The Competition

Growth in the ERP and HRM markets had been slowing, and the major vendors in these categories — SAP, Oracle, PeopleSoft — all multibillion-dollar companies, were making their first forays into the workforce management space. To date, their products provided limited capability but industry watchers expected them to move increasingly into this area through a combination of internal development and acquisitions. Once these companies had their products in place, they would be formidable competitors since they already had a foothold in almost every corporation around the world.

Workbrain also competed directly with a number of companies focused on workforce management. Most significant was Kronos, a NASDAQ-listed company. Although its revenues were considerably larger than Workbrain's, its growth was much slower (see Exhibit 2).

Kronos was founded in 1977, based on electronic time clocks. It evolved to provide a full range of workforce management capabilities. Workbrain was distinguished from Kronos by providing an enterprise-wide solution. Workbrain focused on customers with more than 5,000 employees, and its typical customer had more than 10,000 employees. Workbrain had taken special pains to provide easy integration with ERP and HRM systems — the systems that had been the backbone of corporations. Kronos was more competitive on a department level, servicing 1,200 to 2,500 employees.[4] Additionally, the Workbrain product line was built as an Internet-oriented product from the outset, which made it more modern, flexible and scalable. Nevertheless, Kronos had more than 40,000 customers globally, including a majority of the Fortune 1000 companies.[5]

WORKBRAIN'S FINANCING HISTORY

Workbrain's initial financing came from its founders, who invested US$1 million and held common shares. Workbrain had raised three rounds of venture capital through two classes of preferred shares. The first round, Series A, was completed in April 2000, when just over US$4 million was invested by a group of high-net-worth individuals. The first institutional round came together in December 2000 when Edgestone Capital along with the individual investors put in approximately US$8 million. This investment provided the company with immediate cash, while it pursued U.S. and strategic investors. The company believed investors with these profiles could aid with its U.S. market penetration by lending credibility and marketing heft. In April 2001, Deutsche Bank Alex Brown, a well-regarded Boston-based venture firm associated with a large German Bank, invested US$8 million, and Accenture Technology Ventures, the venture capital arm of the global consulting and systems integration firm, Accenture Inc., invested US$2 million. A complete capitalization table as at September 2003 is shown in Exhibit 3.

WORKBRAIN IN THE FALL OF 2003

Financial statements for the company are provided in Exhibit 4. Chapman had also put together some high-level forecasts for succeeding years (see Exhibit 5). Workbrain had grown remarkably quickly and yet had avoided generating both huge cash losses and huge accounting losses. The company had just over $13.5 million in cash and short-term investments at September 30. The company had a very small (less than $100,000) operating line from a major Canadian bank, but had never drawn on it.

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[4] *Southwest Securities initiating report on Kronos, September 2004.*
[5] *Kronos website, www.kronos.com, accessed 2006.*

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Chapman's projections[6] indicated continuing fast growth for the company albeit at a slightly lower rate: revenues were expected to grow by 100 per cent for 2003 (of which three-quarters had already been completed) and then 69 per cent and 55 per cent in the two subsequent years. Like any fast-growing company, Workbrain always struggled with how much of its revenue growth to re-invest versus how much to let fall to the bottom line. Workbrain generally followed a pattern of keeping income close to a break-even level, while ensuring that cash balances were never at issue. Chapman's projections showed the company continuing to add to its cash balance over the period 2003 to 2005.

Workbrain's venture investors had made their investments in 2000 and 2001. Since venture capitalists (VCs) generally expected to hold their investments for three to five years, Chapman expected the VCs might be starting to think about their exit. Nevertheless, Workbrain's leading VCs, Edgestone and ABS Ventures, both described themselves as patient investors, not looking for an imminent exit. On the other hand, Edgestone expected to be raising its next fund at the beginning of 2004. Workbrain was an early investment for Edgestone and one that it had co-led. To date, the fund had not had any realizations. A successful exit would certainly be helpful in attracting investors to the new fund.

Workbrain's third largest investor was CIBC Capital Partners (CP), who had bought the Accenture Venture Partners portfolio, which included Workbrain. This configuration introduced an interesting quirk: none of the other shareholders knew how much CIBC CP had paid for its position in Workbrain.

From a market perspective, Chapman knew that in high-growth software markets, a race developed to determine the eventual "standard" vendor that would dominate all other players, usually by controlling more than 50 per cent of the market. No leader had yet emerged in the workforce management (WFM) space. Chapman was confident that Workbrain had the strongest product offering but to achieve market dominance, the company had to grow in product breadth, industry coverage and distribution channels. To do so would require investment in salespeople, research and development, and probably the acquisition of companies with complementary products, industry penetration and geographic coverage. Chapman knew that this simultaneous movement on multiple fronts would require a lot of cash.

THE STOCK MARKET

By the fall of 2003, the public stock market seemed to be emerging from what had been one of its worst periods. From the late 1990s to 2001/02, the markets had been on a roller-coaster ride with the dot-com and telecom booms and their subsequent busts. Valuations of public companies were down but seemed to be stabilizing (see Exhibit 6). Through the downward portion of this market ride, very few companies had gone public, and no technology company had gone public in Canada since 2000. Being the first IPO after a long downturn always carried a risk. At the same time, investment bankers with whom Chapman had shared informal conversations indicated that there were signs of latent demand by Canadian institutional investors for technology stocks. Many of these public market investors had defined portions of their portfolios that were required to be invested in Canadian technology stocks, and there were few options to choose from.

[6] *Actual projections are not reproduced here. The data provided was produced for this case study specifically. As such, these projections are hypothetical and do not represent the actual projections of Workbrain.*

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THE RECOMMENDATION

As Chapman prepared his memo, he knew that one possible recommendation was simply to do nothing. The company had more than $10 million in cash. What was the pressing need for an IPO? More money was always a welcome cushion, but perhaps a better route was to conduct another round of venture financing. The current investors didn't seem to be in any hurry to exit this investment and had even indicated a willingness to invest more money.

Chapman knew that a number of non-financial issues had been preying on management and had set them thinking about an IPO. As a public company, Workbrain would no longer need to enter into long discussions with its customers about its financial viability since that information would be available for all to see. In the same vein, the scrutiny attached to being a public company meant that onlookers tended to see such companies as more disciplined, certainly a boon when trying to close million-dollar sales. But would U.S. or European customers view a TSX-listed company in the same way? After all NASDAQ was the big leagues for technology companies and many Canadian, European and Asian companies had gone the NASDAQ route to prove their mettle.

Chapman's discussions with investment bankers led him to believe that a TSX listing in the near future was viable. For the most part, the TSX was a small-cap market. In addition, the demand/supply imbalance in Canadian technology stocks was attractive, as was the likelihood that a Workbrain IPO would lead to good analyst coverage by the major firms. NASDAQ, although potentially more prestigious, would probably require revenues in the $75 million range for a successful IPO. Chapman had to decide whether to wait to list on the NASDAQ and if so, what, if anything, to do in the interim.

A listing on either the TSX or NASDAQ carried with it the issues faced by any public company: attention from a large number of investors versus simply the handful of venture investors. As a private company, Workbrain spoke directly and in depth to its investors. While both Chapman and his CEO, David Ossip, were accustomed to working with their VCs, neither had been CFO or CEO of a public company. How would they deal with the situation of a large sale slipping into a subsequent quarter, dramatically affecting revenues and earnings for the current reporting period? Because Workbrain was a private company, Ossip and Chapman could sit down with their investors, who were also board members and who had in-depth knowledge of the company, and they could explain the circumstances. As a public company, would the investors be as knowledgeable and open to explanation?

Finally, Chapman knew there was always the possibility of pursuing a sale of the company rather than continuing to go it alone. At a time of a few behemoth software companies, such as SAP, Oracle and PeopleSoft, this option might be the right strategic move.

In deciding on any of these alternatives, Chapman had to consider Workbrain's valuation; he had put together a table of comparable companies (see Exhibit 7).

With time growing short, Chapman had to make a call, and so he started to write his memo.

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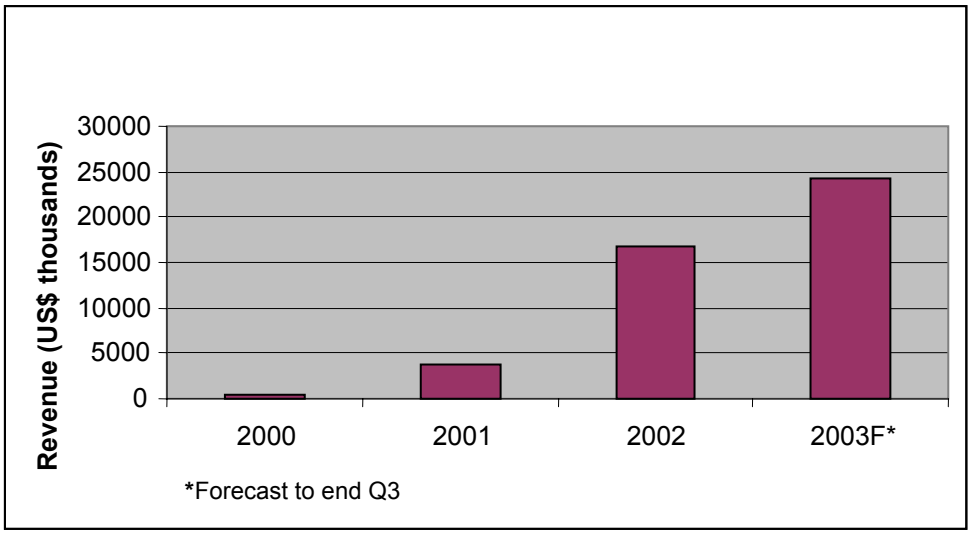
Exhibit 1

WORKBRAIN CORP. ANNUAL REVENUE, 2000–2003



Source: Company documents, 2003.

Exhibit 2

WORKBRAIN AND KRONOS — COMPARATIVE REVENUE GROWTH (IN US$ MILLIONS)

	2001	2002	% Growth
Workbrain	$3.7	$16.8	350%
Kronos	$295.3	$342.4	16%

Sources: Workbrain: Company documents 2003; Kronos: SEC filings 2001 and 2002.

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Exhibit 3

CAPITALIZATION TABLE AT SEPTEMBER 30, 2003

	Common		Series A		Series B		Total	% Ownership	% Ownership
	# Shares	Amount Invested	# Shares	Amount Invested	# Shares	Amount Invested		Outstanding	Fully Diluted
CEO[1]	12,048,000	1,000,000					12,048,000	36%	31%
Other Founders/Employees	3,884,919						3,884,919	12%	10%
Individual Investors			2,994,684	3,692,354	2,017,364	3,272,164	5,012,048	15%	13%
Edgestone[2]	624,300		249,516	307,653	4,101,434	6,652,526	4,975,250	15%	13%
ABS					4,968,944	8,059,627	4,968,944	15%	13%
Accenture/CIBCCP					1,242,236	2,014,907	1,242,236	4%	3%
Workforce Logistics[3]	1,115,457	2,308,996					1,115,457	3%	3%
Total Outstanding	17,672,676		3,244,200		12,329,978		33,246,854	100%	
ESOP	4,944,841						4,944,841		13%
Warrants[4]									
Edgestone[5]	655,129						655,129		2%
WFL	236,495	47,299					236,495		1%
Fully Diluted	23,509,141		3,244,200		12,329,978		39,083,319		100%

Notes:

All amounts are in U.S. dollars. The exchange rate at September 2003 was approximately US$1 = CDN$1.35.

[1] *Shares are held by the CEO's family trust and holding company.*

[2] *Edgestone acquired common shares and Series A preferred shares from various employees and high net worth individuals.*

[3] *Workbrain acquired Workforce Logistics on April 1, 2003.*

[4] *Warrant Exercise Prices WFL:$2.07 ATV: $1.61.*

[5] *Edgestone acquired these warrants from ATV, which had received them as part of a strategic sales agreement.*

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Exhibit 4

WORKBRAIN BALANCE SHEET
(in US$ thousands)

	September 30,	December 31,	
	2003	2002	2001
Assets			
Current Assets			
Cash and Equivalents	$5,186	$6,370	$5,114
Short-term Investments	8,427	8,931	8,376
Accounts Receivable	6,905	5,027	1,562
Other	2,661	2,380	893
Total Current Assets	23,179	22,708	15,945
Property and Equipment	1,992	1,315	808
Intangibles	727		
Goodwill	2,711		
Total Assets	$28,609	$24,023	$16,753
Liabilities & Shareholders' Equity			
Current Liabilities			
Accounts Payable	$515	$777	$333
Accrued Payroll	2,182	1,549	670
Accrued Liabilities	1,301	983	37
Deferred Revenue	9,934	10,390	2,649
Capital Lease - Current	48		
Leasehold Inducements - Current	48	41	41
Total Current Liabilities	14,028	13,740	3,730
Long-term Liabilities			
Capital Lease – Net of Current	65		
Leasehold Inducements - Net of Current	80	99	139
Total Long-Term Liabilities	145	99	139
Total Liabilities	14,173	13,839	3,869
Shareholders' Equity			
Common Shares	3,729	1,007	1,000
Class A Preferred Shares	4,680	4,680	4,680
Class B Preferred Shares	19,963	19,963	19,963
Contributed Surplus	1,806	1,756	1,523
Deferred Stock-based Compensation	(72)	(128)	(270)
Cumulative Translation Adjustment	(127)	(127)	(127)
Deficit	(15,543)	(16,967)	(13,885)
Total Shareholders' Equity	14,436	10,184	12,884
Total Liabilities & Shareholders' Equity	$28,609	$24,023	$16,753

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Exhibit 4 (continued)

INCOME STATEMENT
(in US$ thousands)

	Nine Months Ended September 30,		Year Ended December 31,		
	2003	2002	2002	2001	2000
Revenue					
Licence	$7,840	$2,839	$4,320	$1,181	$164
Service, Maintenance	16,481	8,434	12,529	2,557	253
Net Revenue	24,321	11,273	16,849	3,738	417
Cost of Revenue					
Licence	279	9	83		
Service, Maintenance	11,595	5,129	8,264	2,142	344
Total Cost of Revenue	11,874	5,138	8,347	2,142	344
Gross Profit	12,447	6,135	8,502	1,596	73
Operating Expenses					
Sales and Marketing	6,216	3,958	5,905	4,989	989
Research and Development	3,442	2,247	3,456	3,366	1,628
General and Administration	1,321	1,433	2,215	1,783	1,182
Amortization of Intangibles	211				
Amortization of Stock-based Comp.	3	259	268	711	445
Total Operating Expenses	11,193	7,897	11,844	10,849	4,244
Income (Loss) from Operations	1,254	(1,762)	(3,342)	(9,253)	(4,171)
Interest Income (net)	170	204	260	476	124
Accretion on Preferred Shares				(529)	(458)
Net Income (Loss)	1,424	(1,558)	(3,082)	(9,306)	(4,505)

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Exhibit 4 (continued)

CONSOLIDATED STATEMENTS OF CASH FLOWS
(in US$ thousands)

	Nine Months Ended September 30,		Year Ended December 31,		
	2003	2002	2002	2001	2000
Cash flows from operating activities					
Net Income (Loss)	$1,424	($1,558)	($3,082)	($9,306)	($4,505)
Adjustments to reconcile net income (loss) to net cash provided by (used by) operating activities					
Depreciation	1,153	427	606	386	111
Amortization of intangibles	211				
Amortization of stock-based comp	59	355	375	751	445
Amortization of leasehold inducements	(12)	(30)	(40)	(36)	
Accretion on preferred shares				529	458
Loss on disposal of fixed assets				32	
Change in operating assets and liabilities					
Accounts Receivable	(1,517)	(2,860)	(3,465)	(1,141)	(422)
Other Assets	(202)	(1,327)	(1,487)	(570)	(298)
Accounts Payable	(41)	693	444	(135)	456
Accrued Payroll	628	1,054	879	556	114
Accrued Liabilities	(211)	929	946	(115)	152
Deferred revenue	(554)	596	7,741	2,160	489
Net cash provided by (used for) operating activities	938	(1,721)	2,917	(6,889)	(3,000)
Cash flows from investing activities					
Purchase of short-term investments	(8,427)	(8,931)	(8,931)	(8,870)	
Sale of short-term investments	8,931	8,376	8,376	494	
Payments made on the acquisition of the net operating assets of Workforce Logistics Inc., net of cash required	(1,390)				
Purchase of property and equipment	(1,602)	(884)	(1,113)	(433)	(641)
Net cash used for investing activities	(2,488)	(1,439)	(1,668)	(8,809)	(641)
Cash flows from financing activities					
Repayment of obligations under capital lease	(47)				
Proceeds from issuance of common shares upon exercise of stock options	413		7		
Proceeds from issuance of Class A preferred shares					4,055
Proceeds from issuance of Class B preferred shares				11,750	7,773
Receipt of payment from share purchase loans receivable				108	847
Net cash provided by financing activities	366		7	11,858	12,675
Effect of exchange rate on cash					(127)
Change in cash and cash equivalents	**(1,184)**	**(3,160)**	**1,256**	**(3,840)**	**9,034**
Cash and cash equivalents, beginning of period	**6,370**	**5,114**	**5,114**	**8,954**	**47**
Cash and cash equivalents, end of period	**$5,186**	**$1,954**	**$6,370**	**$5,114**	**$9,081**

Source: Company files.

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Exhibit 5

KEY FINANCIAL DATA — FORECASTS
(in US$ thousands)

	Years Ending December 31		
	2003	**2004**	**2005**
Revenue			
Licence	$10,350	$16,350	$23,000
Service, Maintenance	23,450	40,650	65,500
Net Revenue	33,800	57,000	88,500
Growth Percentage	101%	69%	55%
Cost of Revenue			
Licence	325	300	675
Service, Maintenance	16,500	28,050	47,650
Total Cost of Revenue	16,825	28,350	48,325
Gross Profit	16,975	28,650	40,175
Operating Expenses			
Sales and Marketing	8,800	13,000	17,000
Research and Development	5,150	8,600	13,250
General and Administration	1,625	4,500	7,100
Amortization of Intangibles	350	365	200
Amortization of Stock-based Compensation	85	1,250	1,000
Total Operating Expenses	16,010	27,715	38,550
Income (Loss) from Operations	965	935	1,625
Interest Income (Net)	(230)	475	1,250
Net Income (Loss)	735	1,410	2,875
Cash and Equivalents, Including Short-term Investments	14,500	18,000	23,000
Working Capital	9,000	13,500	18,500

Source: Data created by author.

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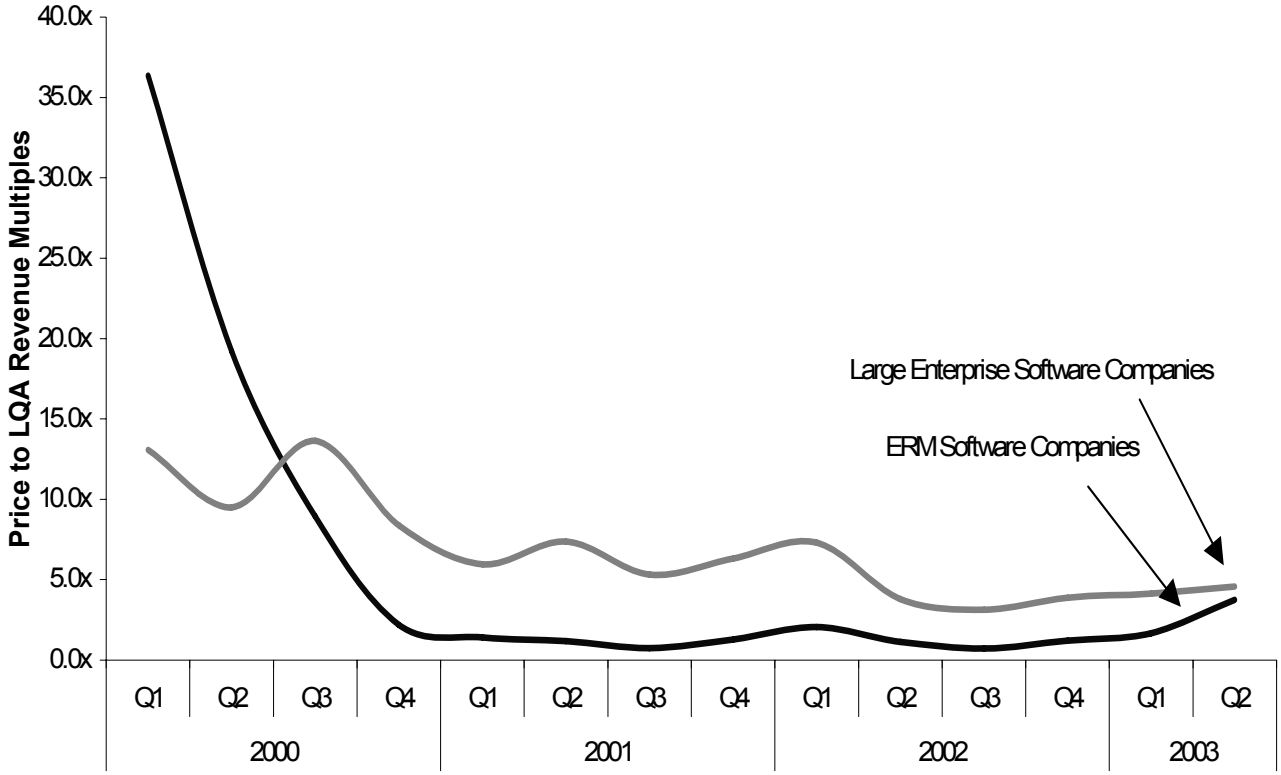
Exhibit 6

PRICE TO LAST QUARTER ANNUALIZED REVENUE MULTIPLES



Source: Compiled from publicly available data, 2003.

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Exhibit 7

COMPARABLE COMPANY ANALYSIS

	Market		TEV/Revenue			TEV/EBITDA		P/E		Revenue Growth
	Cap	TEV	LTM	CY2003e	CY2004e	CY2003e	CY2004e	CY2003e	CY2004e	CY02-04e
Vendors with ERM Capability										
Oracle	65,160	58,969	6.2×	6.1×	5.8×	15.2×	14.2×	27.8×	26.4×	8.0%
SAP	34,969	33,005	4.4×	4.3×	4.1×	25.1×	13.8×	28.9×	27.0×	14.0%
PeopleSoft	6,269	4,292	2.2×	2.2×	2.1×	12.5×	11.8×	30.8×	31.3×	6.7%
Siebel	4,876	2,874	2.0×	2.1×	2.0×	14.2×	9.7×	78.3×	36.4×	(12.8)%
Lawson Software	704	445	1.3×	1.3×	1.2×	n/a	n/a	128.3×	82.9×	(10.3)%
Average			**3.2×**	**3.2×**	**3.0×**	**16.7×**	**8.8×**	**57.8×**	**40.8×**	
ERM Companies										
Kronos	1131	1028	2.7×	2.6×	2.3×	15.0x	n/a	32.2×	neg	26.2%
Concur Technologies	351	333	6.0×	6.6×	4.5×	47.0×	n/a	111.4×	neg	60.4%
Ultimate Software	145	139	2.3×	2.3×	2.0×	n/a	n/a	neg	neg	28.3%
Niku Corp,	75	56	1.3×	n/a	n/a	n/a	n/a	neg	neg	n/a
Saba Software	51	4	0.0×	0.7×	0.5×	nmf	n/a	neg	15.2×	0.4%
Docent	51	15	0.5×	0.5×	n/a	n/a	n/a	neg	neg	n/a
Average			**2.1×**	**2.5×**	**2.3**	**31.0×**	**n/a**	**71.8×**	**15.2×**	
Canadian Software										
Cognos Inc.	3,161	2,876	4.7×	4.5×	3.9×	n/a	n/a	37.4×	31.9×	22.5% *
Open Text Corp.	810	694	3.8×	3.6×	2.8×	n/a	n/a	26.7×	25.3×	17.3.%*
High-Growth Software										
Altiris Inc.	746	596	6.8×	6.1×	4.5×			59.7×	40.9×	58.8%*
Netscreen Technologies	2110	1769	7.2×	6.5×	4.4×			41.4×	38.8×	74.4%*
Websense Inc.	558	391	5.1×	4.8×	3.9×			33.2×	28.2×	31.2%*
Average			**5.8×**	**5.8×**	**4.3×**			**44.8×**	**36.0×**	
**Most recent year only*										

Source: Compiled from publicly available data, 2003.

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